

Recruiting Wedge

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Notation:

- $p > 0$: recruiting cost, # recruiters required to maintain a vacancy per unit time (read cvs, interview)
- $c(t)$: consumption $\rightarrow$ provides utility, $<$ output
- $y(t)$: output $\rightarrow$ consumption + recruiting services
- $\tau(\theta)$: recruiting wedge
 $q = [1 + \tau(\theta)] c$
is amount of services required for recruiting per unit of consumption.
- $v(t)$: vacancies.

Recruiting wedge:

- v vacancies at time t
- $v q(\theta)$ employment relationships created
- on Beveridge curve: $VE = EU$

$$v q(\theta) = \lambda - e$$

$\Rightarrow$ for employment e : need $v = \frac{\lambda - e}{q(\theta)}$

$\Rightarrow$ to sustain employment e : # recruiters required is

$$p \cdot v = \frac{\lambda p e}{q(\theta)}$$

• # services devoted to

recruiting when employment is e :

$$apv = \frac{\lambda p a e}{q(\theta)} = \frac{\lambda p y}{q(\theta)}$$

Link b/w consumption & output:

$$c = y - y \frac{\lambda p}{q(\theta)} = \left[1 - \frac{\lambda p}{q(\theta)} \right] y$$

$$y = \frac{q(\theta)}{q(\theta) - \lambda p} \cdot c$$

$$y = \left[1 + \frac{\lambda p}{q(\theta) - \lambda p} \right] c$$

↑ $\tau(\theta)$

$$\tau(\theta) = \frac{\lambda p}{q(\theta) - \lambda p}$$

Same as in basic model,
except that λp replaces
 p .

- $\tau(\theta)$ is ↑ in θ

- $\tau(0) = 0$ b/c $q(0) = +\infty$ ($q(\theta) = \nu \theta^{-\eta}$)
- θ_m st $q(\theta_m) = \lambda p \Rightarrow \tau(\theta_m) = +\infty$

